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FX Forecast Update

Lingering scepticism sustains bearish dollar outlook

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FX market overview

Recent developments: solid macro backdrop and monetary policy divergence

- Since our last FX Forecast Update on 19 January, the US economy has remained on a solid footing. January's jobs report showed 130k new jobs and unemployment falling to 4.3%, reducing immediate pressure on the Fed to cut rates despite structural headwinds in employment growth. Globally, improving manufacturing data and softer inflation have bolstered risk sentiment. However, AI disruption fears have weighed on part of the technology heavy equity sphere while EM stocks have rallied. Political noise from the Trump administration has eased ahead of the midterms: Warsh's Fed chair nomination has calmed independence fears, immigration policy rhetoric has eased, and tariff threats have diminished. At the same time, monetary policy divergence has emerged as a key theme. The Reserve Bank of Australia hiked rates, while higher-than-expected inflation in Norway has shifted market pricing towards a more hawkish stance. In contrast, the Riksbank and the Bank of England held rates steady, both leaning dovish, though the latter with a narrow vote split.

FX implications: bearish dollar narrative persists

- Over the past month, the USD has decoupled from macroeconomic data, allowing EUR/USD to briefly trade above 1.20 before retracing to around 1.19. Recent cross-sectional performance has favoured high manufacturing-beta currencies, with NOK, NZD and AUD emerging as the relative winners in G10 space. In Scandies, NOK has outperformed amid a favourable combination of USD weakness, higher energy prices and strong near-term momentum. SEK has rallied, partly driven by capital inflows into Swedish equity funds, redirecting funds from US and global counterparts.

Outlook: bullish on EUR/USD and EUR/Scandies

- Over the medium term, we maintain our outlook for EUR/USD to trend higher, underpinned by narrowing real rate differentials, a recovering European asset market, reduced global demand for restrictive monetary policy, persistent tailwinds from hedge ratio adjustments, and fading confidence in US institutions. For EUR/SEK, we expect a gradual move higher towards 11.00 during the year, as SEK faces headwinds from capital flows and the prospect of a dovish Riksbank. For EUR/NOK, we still believe the trend trajectory is higher – driven by the considerable unit labour costs divergence – but we highlight that volatility around this trend is likely to be considerable.

Key risk to our forecasts: greater downside risk to USD than entailed in our projections

- Risks to our forecasts are predominantly tied to the US outlook. If the capital rotation out of US assets continues and a sharp US recession hit, EUR/USD could break substantially higher than our forecast suggests. In this environment, commodity currencies would also face a larger hit. Conversely, persistent resilient US data and/or renewed euro area weakness that could prompt the ECB to cut again this year could keep the USD stronger-for-longer. We highlight that a stagflationary shock to the US economy might not necessarily be positive for the USD. Finally, we will closely monitor geopolitical events, developments and uncertainty related to AI, and broader signs of a turning global cycle.

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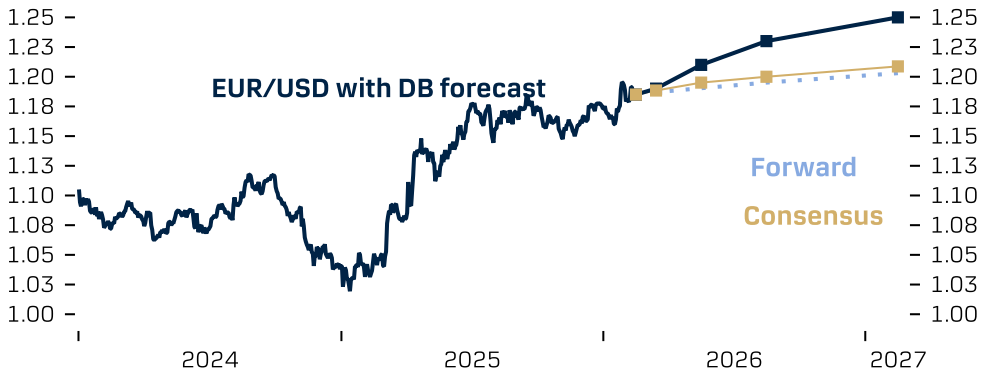
EUR/USD – upward trend intact

- **Cyclical outlook.** The robust US January jobs report, featuring strong job growth and a decline in the unemployment rate to 4.3%, has alleviated some near-term downside risks to the labour market. However, structurally, we believe the overarching narrative remains unchanged, pointing to a gradual slowdown in employment growth. January inflation surprised slightly to the downside and remains relatively contained. We anticipate sequential growth to recover into 2026, supported by accommodative fiscal and monetary policies. Nevertheless, structural demographic trends are increasingly constraining the economy's productive capacity. In the euro area, Q4 2025 concluded on a positive note, with GDP growth at 0.3% q/q, surpassing ECB staff projections of 0.2%. Headline inflation in January fell to 1.7% y/y, below the ECB's 2% target, down from 2.0% in December. This was primarily attributable to declining energy inflation, while services inflation also surprised to the downside.
- **Monetary policy.** Following the Fed's pause in January, after delivering a third consecutive 25bp cut in December, market participants are increasingly divided on the timing of the next potential cut, with the next 25bp cut fully priced by July. We expect the Fed to deliver its next cut in June, followed by another in September. In the euro area, we anticipate the ECB will maintain its hold throughout 2026 and 2027. All else being equal, we view the current monetary policy backdrop as modestly supportive for EUR/USD.
- **External balances.** Fundamentally, the case for 'US exceptionalism' is fading, leaving the greenback increasingly exposed.
- **Valuation.** We estimate EUR/USD fair value over a 1-3Y horizon to be around 1.25, making valuation a structural tailwind for the cross. Key factors to watch include potential structural capital rotation out of US assets, the evolving global energy landscape, and euro area fiscal policy
- **Positioning.** Non-commercial EUR/USD positioning is long.

Forecast: 1.19 (1M), 1.21(3M), 1.23 (6M), 1.25 (12M)



	1M	3M	6M	12M
Danske Bank	1.19	1.21	1.23	1.25
Consensus	1.19	1.20	1.20	1.21
Forward	1.19	1.19	1.20	1.20

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks to our forecast include stronger-than-expected US data, geopolitical escalations and/or renewed euro area weakness.
- **Conclusion.** EUR/USD has edged higher, briefly trading above 1.20 before retracing to around 1.19 since our last update. The USD's bearish narrative remains largely intact, bolstered by strong manufacturing signals, subdued inflation pressures, and lingering scepticism around the USD. Over the medium term, we maintain our outlook for EUR/USD to trend higher, underpinned by narrowing real rate differentials, a recovering European asset market, reduced global demand for restrictive monetary policy, persistent tailwinds from hedge ratio adjustments, and fading confidence in US institutions.

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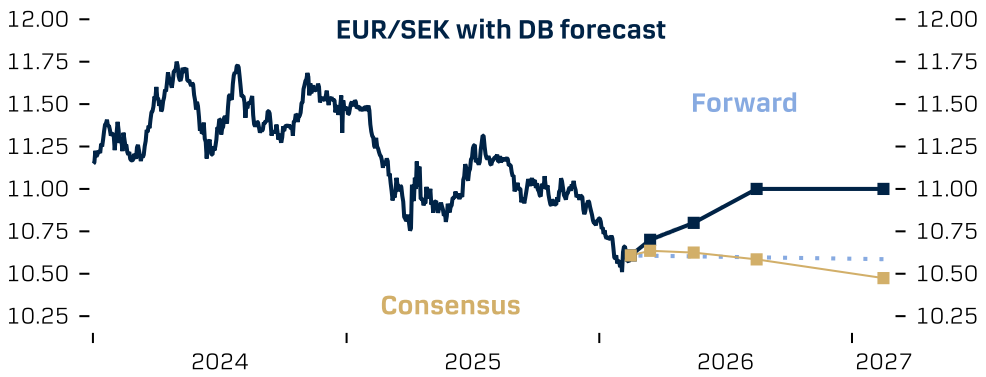
EUR/SEK – stronger krona turned into a Riksbank headache

- **Cyclical outlook.** Despite elevated geopolitical uncertainty persisting into the new year, the global growth outlook still looks to be holding up well, which should be beneficial for the high-beta Swedish krona. The widely expected Swedish economic recovery, and growth outperformance vs the Eurozone during 2026, would also weigh on EUR/SEK. However, December data surprised to the downside with household consumption falling short of expectations. A strong rebound in household consumption is a key prerequisite for our Swedish recovery story, and stalling consumer confidence would clearly signal some downside risk to our macro forecasts.
- **Monetary policy.** Core inflation has undershot consensus and the Riksbank's, forecasts for three consecutive months, and as evident by the January meeting minutes, the Board is concerned. All Board members linked the surprisingly low inflation outcomes to the stronger SEK and warned that further krona appreciation from here could lead to 'problematically low inflation' and 'complicate the monetary policy deliberations'. Money markets have adjusted accordingly, and RIBA's are now pricing a 50% probability of a Riksbank rate cut during H1. Should that come into play, relative monetary policy would return as a clear SEK headwind.
- **Flows.** Balance of payment data as well as the mutual fund flows confirmed that the Swedish savings-investment balance generate net-buying of foreign equities during 2025. However, 2026 started off with net-buying of Swedish equities, which is worth to monitor going forward, although we expect capital flows to remain as a slight headwind for the SEK over time.
- **Valuation**. EUR/SEK remains stretched oversold according to relative rates, signalling a return towards 11.00. Also, from the Riksbank's point of view, the recent SEK rally has run too far, with the broad SEK 3% stronger than forecast.
- **Risks.** A false start to the Swedish growth recovery and a dovish response from the Riksbank would send EUR/SEK higher. An increased appetite for Swedish assets and/or raised hedge ratios amongst Swedish investors would lend support to the krona and potentially moderate a long-term headwind.

Forecast: 10.70 (1M), 10.80 (3M), 11.00 (6M), 11.00 (12M)



	1M	3M	6M	12M
Danske Bank	10.70	10.80	11.00	11.00
Consensus	10.64	10.62	10.58	10.47
Forward	10.61	10.60	10.60	10.59

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Swedish macro is currently in a soft patch, with both inflation and real growth data having surprised to the downside lately. The SEK is clearly becoming a concern for the Riksbank, with deputy Governor Per Jansson reportedly contemplating voting for a cut already at the March meeting. With the money market having repriced accordingly, now indicating a 50% probability of a cut during H1, EUR/SEK looks increasingly oversold versus relative rates. At odds with macro fundamentals, the current SEK rally could be partly explained by an inflow of capital into Swedish mutual equity funds through January, at the expense of US/global dittos. However, unless this constitutes a new normal (we doubt it), capital flows remain as a medium-term headwind for the SEK. Additionally, further macro weakness and soft inflation prints could well push the Riksbank towards an easier policy stance, which would weigh on the SEK. As such, we keep our forecast intact and expect EUR/SEK to edge gradually higher towards 11.00 during the year.

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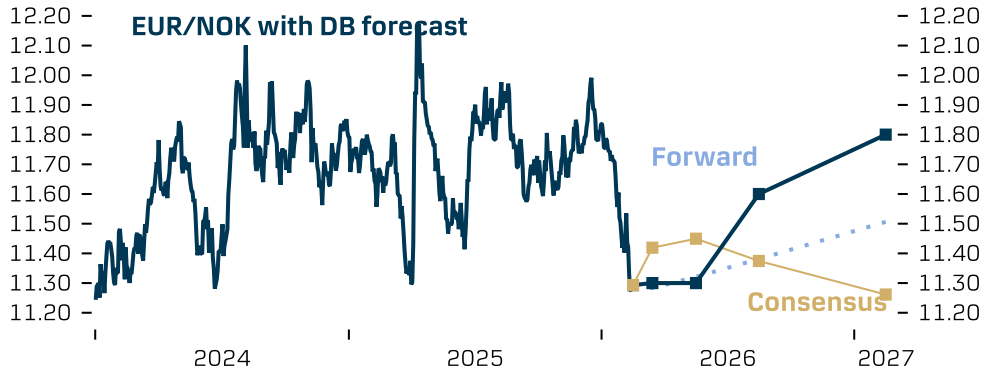
EUR/NOK – strong downward momentum, but mind the upward trend

- **Cyclical outlook.** The latest national account figures confirmed the picture of an economy still running at around trend potential with low productivity and employment growth running below long-term averages. Meanwhile, January inflation surprised strongly to the topside which has led to a full repricing of the Norges Bank (NB) monetary policy outlook with markets now leaning towards rate hikes being the most likely direction of policy rates in H1. We are not convinced of the persistency in the inflation details – especially not on service price inflation – which alongside disinflationary imported impulses quickly could return rate cut speculations to the table. That said, a near-term risk has become an expensive central wage negotiation with front-party negotiations expected to finish by early April. That leaves the 10 March inflation release an unusually important key market event.
- **Monetary policy.** At the December monetary policy meeting NB kept rates unchanged whilst indicating 1-2 rate cuts during 2026. Meanwhile, these signals are now put in question in markets amid the latest inflation surprise. If we are right in our own call for inflation it would entail a postponement rather than cancellation of rate cuts. Our base case entails three cuts over the coming year (September, December, March 2027) which would bring the key policy rate to 3.25% in 13 months' time. In our view relative rates will be a negative factor for NOK FX in the coming year.
- **External balances.** Norway runs a neutral current account balance when adjusting for both petroleum related exports and oil-fund financed fiscal spending. Meanwhile, on a net international investment position basis Norway still runs a sizable deficit when adjusting for the oil fund. NB has become a considerable NOK buyer in 2026 (fiscal- and FX reserve cap transactions) but this merely reflects equivalently less NOK buying from oil and gas companies amid declining revenues.
- **Valuation.** We expect fair value estimates for EUR/NOK to trend higher in the years to come following the relatively higher unit labours costs in Norway and the tightening of real rate gaps.
- **Positioning.** We regard NOK positioning to be long but not stretched so.

Forecast: 11.30 (1M), 11.30 (3M), 11.60 (6M), 11.80 (12M)



	1M	3M	6M	12M
Danske Bank	11.30	11.30	11.60	11.80
Consensus	11.42	11.45	11.37	11.26
Forward	11.28	11.32	11.38	11.51

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Near-term risks are closely connected to Norwegian inflation on 10 March, the equity sector rotation out of the US and the weakening of the USD.
- **Conclusion.** The near-term momentum in NOK has been strong supported by both global and domestic drivers. Importantly, however, we do not see the recent strength as a regime change. In fact, with the recent figures the central wage round could prove expensive for yet another year. For an unchanged level of productivity-gap to peers this would result in a further unit labour cost divergence and hence lift the bar for required nominal NOK weakness over time to create a new macroeconomic balance. We still believe the trend trajectory for EUR/NOK is higher – driven by the considerable unit labour costs divergence – but we highlight that volatility around this trend is likely to be considerable. In light of the recent drop, we lower the short-end profile and have a more neutral 1-3M stance on NOK.

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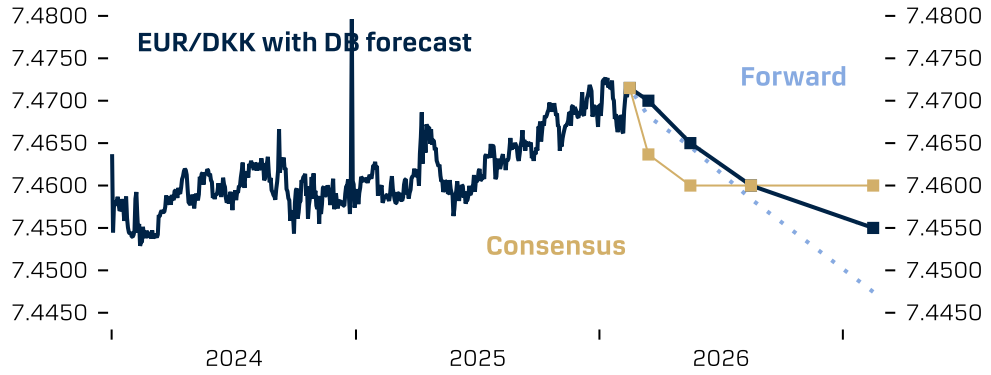
EUR/DKK – upwards pressure persists ahead of dividend season

- **Cyclical outlook.** The cyclical environment looks about neutral to positive for EUR/DKK. Equity markets are rising, which is positive for EUR/DKK through rebalancing effects. Development in US and in USD/DKK, including developments in tariffs will be important for the earnings potential in the Danish economy considering the significant net exports of pharmaceuticals, but also the large investment in US stocks.
- **Monetary policy.** Danmarks Nationalbank (DN) did not intervene when EUR/DKK was on the rise in January. We think EUR/DKK needs to rise above 7.4730 before DN would start to intervene. While intervention over the coming months is a clear possibility, we do not expect a unilateral rate hike the coming year. We expect the ECB to keep its key policy rate steady at 2.00%, which means we look for DN to stay on hold at 1.60% thereby maintaining the policy rate spread at -40bp. Should ECB change interest rates, DN would follow 1:1.
- **External balances.** Denmark continues to run a very large current account surplus around 10-15% of GDP with pharmaceutical exports making a big contribution to the trade surplus. Service exports also help despite the rise in tariffs. The significant surplus materialises in a large investment need abroad.
- **Valuation.** The strong Danish external balances keep a 'DKK appreciation risk premium' vis-à-vis the EUR in the FX forward curve.
- **Positioning.** Recent hedging data from the Danish central bank showed that the domestic life and pension kept its USD hedge around 70% in December. The sector increased its EUR hedge ratio further in December to the highest level since April. Increased EUR hedging likely mitigated part of the upwards pressure on EUR/DKK in December and possibly January.

Forecast: 7.4700 (1M), 7.4650 (3M), 7.4600 (6M), 7.4550 (12M)



	1M	3M	6M	12M
Danske Bank	7.4700	7.4650	7.4600	7.4550
Consensus	7.4637	7.4600	7.4600	7.4600
Forward	7.4682	7.4646	7.4584	7.4475

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** EUR/DKK remains exposed to large movements in equity and fixed income markets via the FX hedge rebalancing effect. US equity outperformance will tend to keep EUR/DKK low, while higher long-term bond yields will support a higher EUR/DKK. Political uncertainty in France and fiscal shift in Germany may, over time, put strong Danish macroeconomic balances in an even better light. For now, the former has had little effect on the pair.
- **Conclusion.** We look for EUR/DKK to trade around the 7.4700 level near-term. Large dividend flows in the end of March will put temporary upwards pressure on the pair. On 12M, we expect a drop back towards the 7.4550 level as strong fundamentals continue to weigh on the pair.

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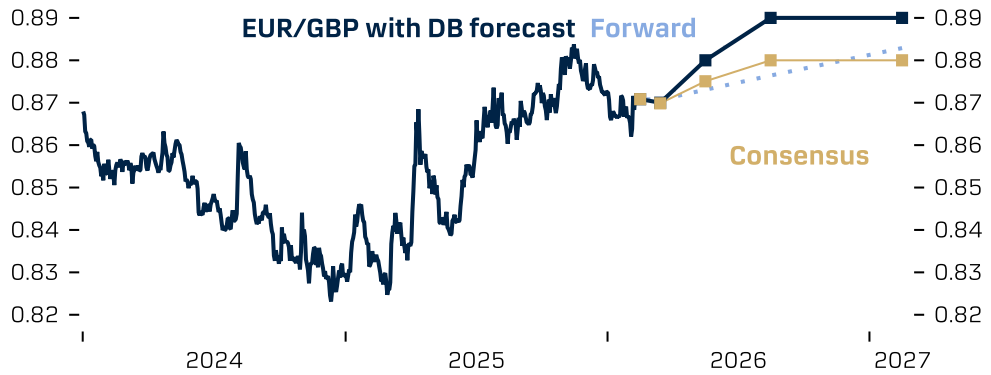
EUR/GBP – to climb higher

- **Cyclical outlook.** The growth outlook for the UK remains a mixed bag. Retail sales were to the strong side in December and January PMIs suggest a strong start to the year with composite PMI at the highest level since spring 2024. Inflation has been lower than pencilled in by the BoE, but underlying price pressures remain elevated. On the labour market, job losses accelerated in December with a 42K decline. The decline in previous months has however been less steep than originally measured. Like inflation, wage growth has headed lower but remains elevated with average earnings (excl. bonus) at 4.5% in November down from close to 6% in early 2025.
- **Monetary policy.** The BoE decided to keep the Bank Rate unchanged at 3.75% in February in a narrow vote split, once again highlighting the highly split MPC with 4 members voting for a 25bp cut and 5 members voting for an unchanged decision. The tight vote split was coupled with dovish guidance with the BoE updating its guidance to include "on the basis of the current evidence, Bank Rate is likely to be reduced further". We expect the BoE to deliver the next cut in the Bank Rate in April with a final cut to 3.25% in November. We do see risks of cuts being delivered sooner than in our base case. We see relative rates as a slight positive for EUR/GBP.
- **External balances.** The UK runs a large current-account deficit, which makes GBP vulnerable when capital inflows fade; this keeps GBP at risk vs EUR in the wake of souring global risk appetite.
- **Valuation.** Our Brexit-corrected MEVA estimate for EUR/GBP is around 0.83.
- **Positioning.** Non-commercial positioning is neutral EUR/GBP.
- **Risks.** The key risk to seeing EUR/GBP trade substantially higher than our forecast is a sharp sell-off in global risk and/or renewed focus on the UK's fragile fiscal position. Other risks are closely related to the developments in the relative growth outlook between the euro area and the UK. If growth fares better than expected in the UK, this could send EUR/GBP substantially lower. Similarly, if risky assets experience a significant rally, we would expect EUR/GBP to move lower.

Forecast: 0.87 (1M), 0.88 (3M), 0.89 (6M), 0.89 (12M)



	1M	3M	6M	12M
Danske Bank	0.87	0.88	0.89	0.89
Consensus	0.87	0.88	0.88	0.88
Forward	0.87	0.87	0.88	0.88

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** EUR/GBP has been remarkably range-bound within the 0.86-0.87 figure over the past month. While immediate budget concerns have eased politics continue to be front and centre. We see domestic factors and the relative growth outlook between the UK and the euro area as GBP negatives. This is further amplified by divergence in the fiscal policy outlook. Additionally, a global investment environment characterised by elevated uncertainty and a positive correlation to a USD negative environment, in our view, favours a weaker GBP. We forecast EUR/GBP to move higher towards 0.89 on a 6–12-month horizon.

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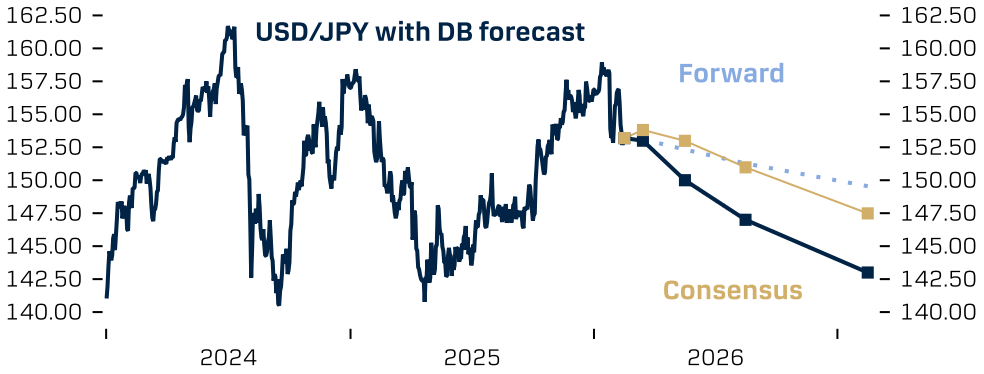
USD/JPY – fundamentals to weigh on the pair

- **Cyclical outlook.** With Prime Minister Takachi and the LDP securing a convincing election victory, the economy could receive a boost from the pro-stimulus fiscal agenda throughout the year. While the proposed measures are positive for economic growth, their implications for rates and the JPY remain uncertain, depending on the financing approach. Japan's economy grew by a modest 0.1% q/q in Q4 2025, undershooting the 0.4% consensus and rebounding weakly from a 0.7% contraction in Q3. Annualised GDP rose 0.2%, while y/y growth slowed to 0.1% from 0.6%, reflecting subdued momentum. Growth was supported by private consumption and investment, indicating stabilising but lacklustre domestic demand. We expect domestic demand to gradually strengthen in the coming months, aided by positive real wage growth, with annual wage negotiations serving as a key indicator. Inflation remains persistently around 3%, creating room for further monetary policy tightening in 2026.
- **Monetary policy.** Following the Bank of Japan's (BoJ) 25bp hike at the December meeting, which raised the policy rate to 0.75%, we anticipate another 25bp hike at the April meeting, while markets have fully priced in the next move by June. Beyond April, we expect the BoJ to proceed with normalising monetary policy, delivering another hike in H2, though this remains contingent on political developments. For USD/JPY, we continue to highlight that the Fed's cutting cycle will serve as the key monetary policy driver, likely acting as a headwind for the pair.
- **External balances.** The Japanese trade balance, along with terms of trade, has improved markedly since reaching historical lows after the pandemic. Falling imports and rising exports have nearly closed the gap caused by the pandemic.
- **Positioning.** Speculators are neutral-positioned in the JPY.
- **Risks.** The main risk to our forecast is stronger-than-expected US data, which could delay further Fed cuts. An energy shock from potential geopolitical escalations could also pose upside risk.

Forecast: 153 (1M), 150(3M), 147 (6M), 143 (12M)



	1M	3M	6M	12M
Danske Bank	153	150	147	143
Consensus	154	153	151	147
Forward	153	152	151	150

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Since our last update, USD/JPY has drifted lower, initially driven by rate-check induced JPY strength ahead of the election, followed by several instances of verbal intervention post-election, which have bolstered the JPY alongside a stabilising JGB market. We maintain that the strategic case for a lower USD/JPY remains intact, underpinned by narrowing rate differentials. With the election now behind us, we anticipate market focus to increasingly revert to fundamental drivers, which, in our view, signal downside pressure on USD/JPY.

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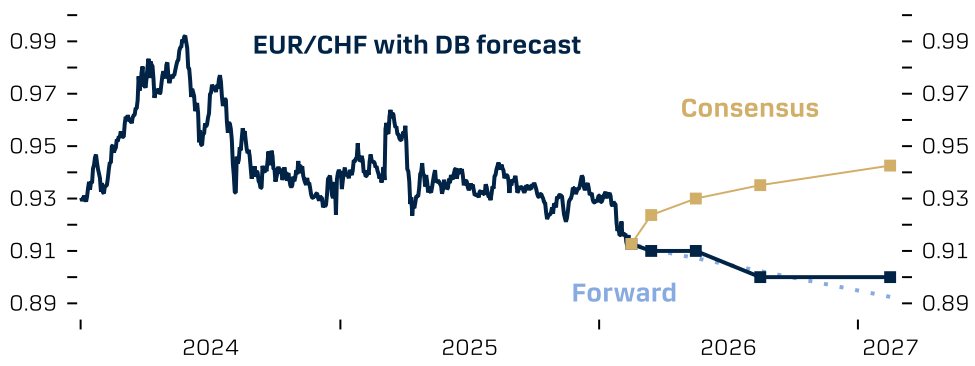
EUR/CHF

Forecast: 0.91 (1M), 0.91 (3M), 0.90 (6M), 0.90 (12M)

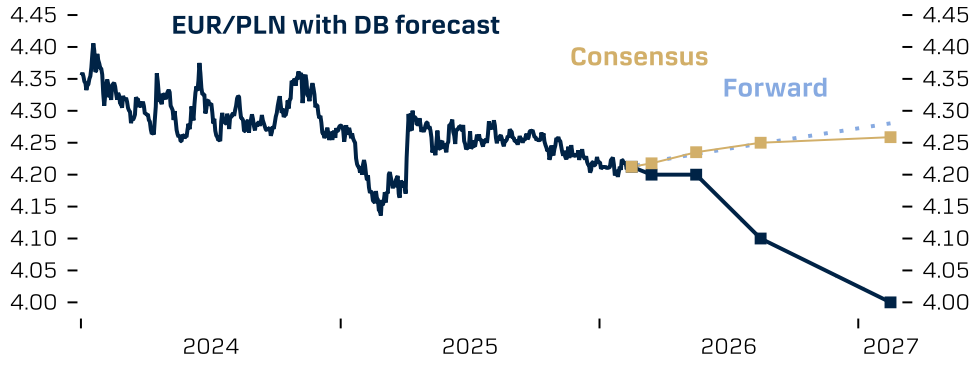


Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- EUR/CHF has dropped significantly lower since our last update, currently trading close to the 0.91 mark. This is the lowest level since the removal of the floor on EUR/CHF back in 2025. We remain bearish on EUR/CHF and, in light of the recent move lower, adjust our target slightly downwards. We target the cross at 0.90 in 6-12 months.
- The Swiss National Bank (SNB) remains firmly on hold with its policy rate at 0% and we expect this to remain the case despite inflation coming in to the soft side. Combined with strong fundamentals, we think persistently diverging price levels favour a stronger CHF via the PPP. Additionally, a global investment environment characterised by weak global growth and elevated uncertainty benefits CHF.
- The biggest risks to this call are aggressive FX intervention from the SNB to weaken the CHF and a return to a reflationary environment.

EUR/PLN

Forecast: 4.20 (1M), 4.20 (3M), 4.10 (6M), 4.00 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- The Polish central bank (NBP) is closing in on the end of their easing cycle, however if Governor Glapinski is to be believed, there could still be one or two more cuts to go from the NBP. The March meeting will be highly interesting as it comes with updated macro forecasts, and although another cut cannot be ruled out there and then, we see it just as likely that the current key rate of 4% marks the endpoint of this easing cycle, especially seeing recent data suggests a risk of wage growth re-acceleration.
- EUR/PLN continues to drift gradually lower but has thus far been unsuccessful in breaching the 4.20-level. However, with a benign cyclical outlook, a positive interest rate spread vs the Eurozone, and a pickup of foreign investment that seems persistent, we remain bullish on the Zloty through 2026. With a potential pickup also in domestic equity investments on the back of the new tax-free personal investment accounts, we expect that Polish assets will continue to be supported also in 2026, to the benefit of the Zloty. Although we expect EUR/PLN to hover around 4.20 during most of spring, we continue to see scope for a move towards 4.00 on the 12m-horizon.

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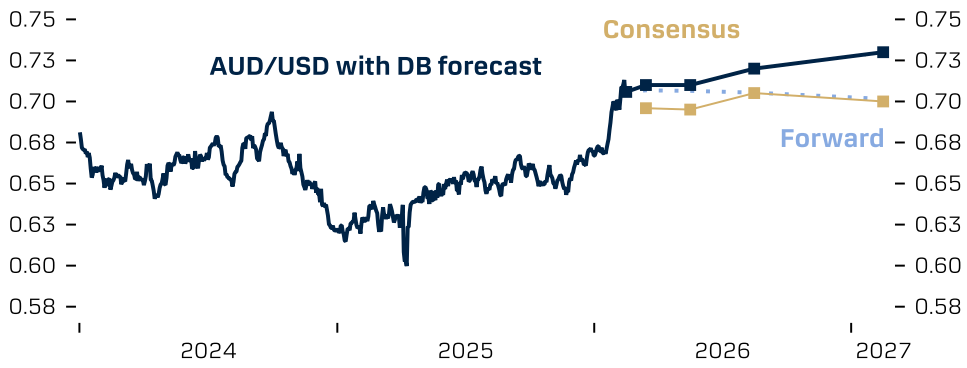
AUD/USD

Forecast: 0.71 (1M), 0.71 (3M), 0.72 (6M), 0.73 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- AUD has been one of the strongest performing G10 currencies so far in 2026 benefitting from both relative rates and boom in prices of Australian export commodities, not least metals.
- The Reserve Bank of Australia (RBA) surprised markets by hiking the policy rate already in early February after Q4 CPI and December employment reports surprised positively. The shift came only half a year after the final rate cut, and markets are already expecting more with the next hike almost fully priced in by June.
- Signs of improving manufacturing cycle, both globally but especially in Asia, have benefitted Australian exports. Rising prices of industrial metals have supported Australian terms-of-trade and contributed to the currency appreciation. As we expect the Fed to continue cutting rates later this year, we continue to see further upside for AUD/USD ahead.

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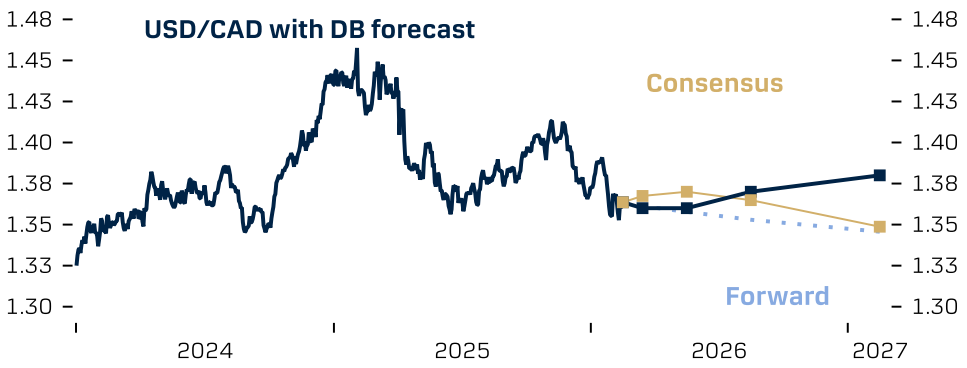
USD/CAD

Forecast: 1.36 (1M), 1.36 (3M), 1.37 (6M), 1.38 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- The last month has seen an interesting decoupling between CAD and other commodity currencies. The CAD has heavily underperformed commodity peers amid the weakening of the USD and the general sector rotation out of the US seemingly weighing on the Loonie. This is interesting amid the general increase in commodity prices incl. oil which normally would benefit the CAD.
- Instead, CAD/USD has traded in tandem with EUR/USD which historically has been quite unusual. We expect the USD to do poorly over the coming year (see EUR/USD slide) this will in isolation pose as a headwind for the trade weighted CAD. In addition, the Canadian economy outlook alongside continued trade concerns with the US are likely to pull CAD lower – also vs the USD. We therefore stick to a flat-to-marginally upward sloping profile for the cross. Positioning indicators suggest a roughly neutral backdrop.
- Markets have begun pricing in renewed cut probability on Bank of Canada, but we stick to the call that the last cut has already been delivered. Near-term, the cross will largely be a derivative of the global USD narrative and the ongoing equity sector rotation story.

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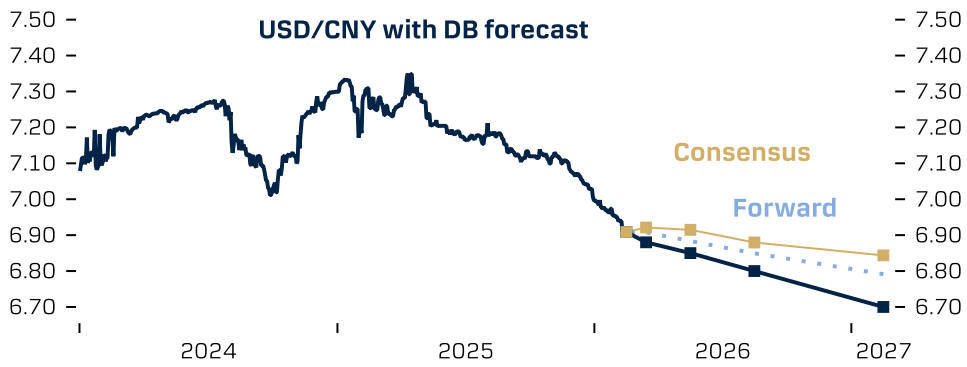
USD/CNY - even faster decline

- **CNY the past month.** USD/CNY has continued its' relentless move lower going to around 6.90 from 7.0 a month ago.
- **Growth outlook.** The Chinese economy continues to be a two-speed economy with weak domestic demand and strong exports and tech development. Economic data for Q4 continued to show weakness in private consumption as well as in housing. Export growth remained strong though as China's competitiveness has improved even further in recent years with a sharp depreciation of the real trade-weighted CNY. The annual Central Economic Work Conference in December showed no sign of a big stimulus coming but we expect China to continue to support the economy enough to keep growth close to 5% growth again in 2026 (our forecast is 4.8%).
- **Monetary policy.** The People's Bank of China (PBOC) has cut some structural lending support and signalled that it has room to cut policy rates and the reserve requirement rate in 2026. We expect a cut in policy rates of around 10bp within the next 1-2 months.
- **FX policy.** PBOC has revealed a preference for a gradual decline in USD/CNY by lowering the fixing steadily for some time now. We expect this policy to continue over the coming year as the currency looks undervalued and currency strengthening facilitates the rebalancing of the economy China aims for. The fixing sets the middle of the +/-2% daily trading band. While the nominal trade weighted currency is broadly flat the real trade weighted currency is down by around 20% over the past 3-4 years.
- **Flows.** China has a current account surplus of 2% of GDP driven by a high and rising goods trade surplus close to 7% of GDP. The service balance is negative, though, due to a pick-up in outbound tourists. Net FDI is negative as inbound FDI has weakened while outbound FDI has increased as Chinese companies go global (EV, battery, solar companies etc.). They also increasingly invest in South East Asia where tariff rates to the US are lower.
- **Valuation.** With a continuously rising trade surplus and depreciation of the real currency, the CNY looks increasingly undervalued in the long run.

Forecast: 6.88 (1M), 6.85 (3M), 6.80 (6M), 6.70 (12M)



	1M	3M	6M	12M
Danske Bank	6.88	6.85	6.80	6.70
Consensus	6.92	6.91	6.88	6.84
Forward	6.91	6.88	6.85	6.79

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** The uncertainty to the outlook is generally high. The outlook for EUR/USD and Beijing's willingness to let the CNY appreciate are the key drivers so any deviation from our expectations here would affect the path for USD/CNY.
- **Conclusion.** As the pace of decline has been even faster than we expected and we see no indication China is unhappy with the trend, we lower our forecast to 6.88 (6.97) in 1M, 6.85 (6.95) in 3M, 6.8 (6.90) in 6M and 6.70 (6.8) in 12M (parenthesis show previous forecast). This will keep the EUR/CNY moving broadly sideways, which we think may be part of the motivation from Beijing's appreciation against the USD as EU has expressed clear unhappiness with the depreciation of CNY vs EUR over the past years in light of the big Chinese trade surplus vs EU.

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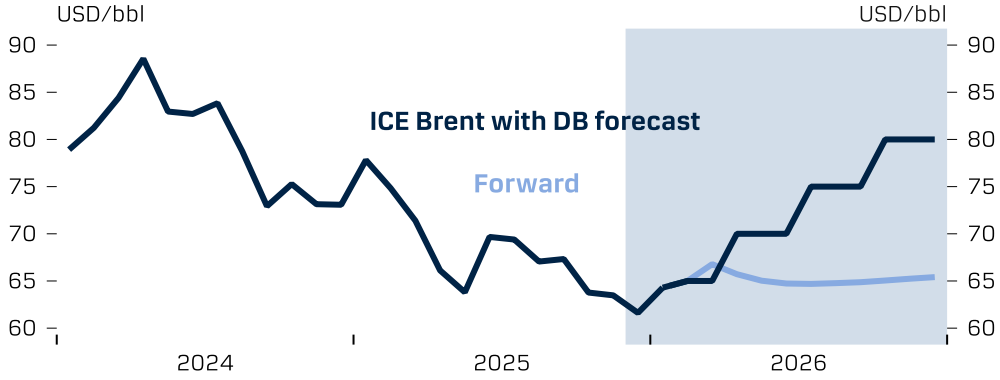
Oil – OPEC mulls another output hike

- **Macro.** The oil market remains well supplied following a series of OPEC+ output hikes. The cartel mulls hiking again in April and looks to make that decision in March. Notably, Saudi Arabia still has ample spare capacity… Military intervention and a possible regime shift in Venezuela and Iran will have limited impact on the oil market in the short run but may have a positive effect on world oil supply over the longer run. But the time-horizon and scope are very uncertain.
- Trade tensions continue to weigh on global oil demand. Tension have eased some recently and the US supreme court looks set to strike down on reciprocal tariffs soon. The result might be more uncertainty about the end-level of tariffs, rather than a reversal of this year's tariff hike.
- The mid-term in the US is drawing closer and a key priority for the administration seems to be to keep oil prices low. The beforementioned OPEC output hikes will do their part. The US has continued buying oil for its strategic reserves but could also halt these purchases to ease possible upwards pressure on oil prices.
- The US oil rig count is on decline and as low oil prices hurt profitability in the industry. That has also started to weigh on investments in the US oil industry.
- **Risks.** The risks to our oil price forecast are high – particularly in the short term, where the outcome space for the conflict in the Middle East and Venezuela and trade talks remains wide. There is also a chance that Russia's energy exports might be hit by more sanctions if peace talks fail.
- **Conclusion.** We look for Brent to average USD65/bbl in Q1, rise to USD75/bbl in Q4, and further to USD85/bbl in 2027. The rise over the coming years reflects a reversion to a more normal level for oil output, as we do not expect the current level of prices to be sustainable over the medium term.

Forecast: 65 (Q1'26), 70 (Q2'26), 70 (Q3'26), 75 (Q4'26), 85 (2027)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

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Danske Bank FX forecasts vs EUR

G10				Last Update:	16/02/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs EUR					
EUR/USD	1.19	1.19	1.21	1.23	1.25
EUR/JPY	182	182	182	181	179
EUR/GBP	0.87	0.87	0.88	0.89	0.89
EUR/CHF	0.91	0.91	0.91	0.90	0.90
EUR/SEK	10.60	10.70	10.80	11.00	11.00
EUR/NOK	11.26	11.30	11.30	11.60	11.80
EUR/DKK	7.4708	7.4700	7.4650	7.4600	7.4550
EUR/AUD	1.68	1.68	1.70	1.71	1.71
EUR/NZD	1.96	1.95	1.98	1.98	1.98
EUR/CAD	1.62	1.62	1.65	1.69	1.73
EM					
	Spot	+1m	+3m	+6m	+12m
EUR/PLN	4.21	4.20	4.20	4.10	4.00
EUR/HUF	377	380	380	400	400
EUR/CZK	24.3	24.3	24.2	24.1	24.0
EUR/TRY	51.8	52.8	55.5	59.2	65.6
EUR/ZAR	18.9	18.9	19.2	19.4	19.6
EUR/CNY	8.20	8.19	8.29	8.36	8.38
EUR/INR	107.6	108.3	110.4	112.5	115.0

Source: Danske Bank

Danske Bank FX forecasts vs DKK

G10				Last Update:	16/02/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs DKK					
USD/DKK	630.39	627.73	616.94	606.50	596.40
JPY/DKK	4.11	4.10	4.11	4.13	4.17
GBP/DKK	859.08	858.62	848.30	838.20	837.64
CHF/DKK	819.06	820.88	820.33	828.89	828.33
SEK/DKK	70.47	69.81	69.12	67.82	67.77
NOK/DKK	66.37	66.11	66.06	64.31	63.18
EUR/DKK	747.08	747.00	746.50	746.00	745.50
AUD/DKK	445.90	445.69	438.03	436.68	435.37
NZD/DKK	380.35	382.92	376.33	376.03	375.73
CAD/DKK	462.40	461.57	453.63	442.70	432.17
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/DKK	177.32	177.86	177.74	181.95	186.38
HUF/DKK	1.98	1.97	1.96	1.87	1.86
CZK/DKK	30.80	30.74	30.85	30.95	31.06
TRY/DKK	14.41	14.14	13.44	12.61	11.36
ZAR/DKK	39.44	39.48	38.92	38.41	38.08
CNY/DKK	91.20	91.24	90.06	89.19	89.01
INR/DKK	6.95	6.90	6.76	6.63	6.48

Source: Danske Bank

Note: The convention used is 1/100

Danske Bank FX forecasts vs SEK

G10				Last Update:	16/02/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs SEK					
USD/SEK	8.95	8.99	8.93	8.94	8.80
JPY/SEK	5.83	5.88	5.95	6.08	6.15
GBP/SEK	12.19	12.30	12.27	12.36	12.36
CHF/SEK	11.62	11.76	11.87	12.22	12.22
EUR/SEK	10.60	10.70	10.80	11.00	11.00
NOK/SEK	0.94	0.95	0.96	0.95	0.93
DKK/SEK	1.42	1.43	1.45	1.47	1.48
AUD/SEK	6.33	6.38	6.34	6.44	6.42
NZD/SEK	5.40	5.48	5.44	5.54	5.54
CAD/SEK	6.56	6.61	6.56	6.53	6.38
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/SEK	2.52	2.55	2.57	2.68	2.75
HUF/SEK	2.81	2.82	2.84	2.75	2.75
CZK/SEK	0.44	0.44	0.45	0.46	0.46
TRY/SEK	0.20	0.20	0.19	0.19	0.17
ZAR/SEK	0.56	0.57	0.56	0.57	0.56
CNY/SEK	1.293	1.307	1.303	1.315	1.313
INR/SEK	0.099	0.099	0.098	0.098	0.096

Source: Danske Bank

Danske Bank FX forecasts vs NOK

G10				Last Update:	16/02/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs NOK					
USD/NOK	9.50	9.50	9.34	9.43	9.44
JPY/NOK	6.19	6.21	6.23	6.42	6.60
GBP/NOK	12.94	12.99	12.84	13.03	13.26
CHF/NOK	12.34	12.42	12.42	12.89	13.11
SEK/NOK	1.06	1.06	1.05	1.05	1.07
EUR/NOK	11.26	11.30	11.30	11.60	11.80
DKK/NOK	1.51	1.51	1.51	1.55	1.58
AUD/NOK	6.72	6.74	6.63	6.79	6.89
NZD/NOK	5.73	5.79	5.70	5.85	5.95
CAD/NOK	6.97	6.98	6.87	6.88	6.84
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/NOK	2.67	2.69	2.69	2.83	2.95
HUF/NOK	2.98	2.97	2.97	2.90	2.95
CZK/NOK	0.46	0.47	0.47	0.48	0.49
TRY/NOK	0.22	0.21	0.20	0.20	0.18
ZAR/NOK	0.59	0.60	0.59	0.60	0.60
CNY/NOK	1.37	1.38	1.36	1.39	1.41
INR/NOK	0.10	0.10	0.10	0.10	0.10

Source: Danske Bank

Danske Bank FX forecasts vs USD

G10				Last Update:	16/02/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs USD					
EUR/USD	1.19	1.19	1.21	1.23	1.25
USD/JPY	154	153	150	147	143
GBP/USD	1.36	1.37	1.38	1.38	1.40
USD/CHF	0.77	0.76	0.75	0.73	0.72
USD/SEK	8.95	8.99	8.93	8.94	8.80
USD/NOK	9.50	9.50	9.34	9.43	9.44
USD/DKK	6.30	6.28	6.17	6.07	5.96
AUD/USD	0.71	0.71	0.71	0.72	0.73
NZD/USD	0.60	0.61	0.61	0.62	0.63
USD/CAD	1.36	1.36	1.36	1.37	1.38
EM					
	Spot	+1m	+3m	+6m	+12m
USD/PLN	3.56	3.53	3.47	3.33	3.20
USD/HUF	319	314	314	325	320
USD/CZK	20.47	20.42	20.00	19.59	19.20
USD/TRY	43.71	44.40	45.90	48.10	52.50
USD/ZAR	15.98	15.90	15.85	15.79	15.66
USD/CNY	6.90	6.88	6.85	6.80	6.70
USD/INR	90.65	91.00	91.25	91.50	92.00

Source: Danske Bank

Danske Bank FX forecasts vs GBP

G10				Last Update:	16/02/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs GBP					
GBP/USD	1.36	1.37	1.38	1.38	1.40
GBP/JPY	209	209	206	203	201
EUR/GBP	0.87	0.87	0.88	0.89	0.89
GBP/CHF	1.05	1.05	1.03	1.01	1.01
GBP/SEK	12.19	12.30	12.27	12.36	12.36
GBP/NOK	12.94	12.99	12.84	13.03	13.26
GBP/DKK	8.59	8.59	8.48	8.38	8.38
GBP/AUD	1.93	1.93	1.94	1.92	1.92
GBP/NZD	2.26	2.24	2.25	2.23	2.23
GBP/CAD	1.86	1.86	1.87	1.89	1.94
EM					
	Spot	+1m	+3m	+6m	+12m
GBP/PLN	4.84	4.83	4.77	4.61	4.49
GBP/HUF	434	437	432	449	449
GBP/CZK	27.90	27.93	27.50	27.08	26.97
GBP/TRY	59.59	60.73	63.11	66.48	73.74
GBP/ZAR	21.78	21.75	21.79	21.82	21.99
GBP/CNY	9.43	9.41	9.42	9.40	9.41
GBP/INR	123.68	124.47	125.47	126.46	129.21

Source: Danske Bank

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